CONCALL TRACKER · Q1 FY27 CONTINUITY READ

Mishra Dhatu Nigam Ltd (MIDHANI)

Screener ticker: MIDHANI · BSE 541195 · Prepared 6 Nov 2026 · Builds on the Q4-2026 report (12 calls, Q1 FY24 to Q4 FY26) and deep-reads the new Q1 FY27 call held 17 Aug 2026

1. Snapshot: what the company is

MIDHANI is a **Government-of-India defence company** that makes special metals India can't easily buy abroad: **superalloys** (nickel-based metals that stay strong at jet-engine heat), **titanium alloys** (strong and light) and special steels for rockets, missiles, submarines and armour. Its buyers are ISRO, DRDO, the armed forces, HAL and nuclear power programmes. Think of it as the country's home-grown store for strategic metals.

₹239 cr
Q1 FY27 sales (April to June 2026), up about 40% on a year ago. Q1 is usually its smallest quarter, so the base is low.

~20%
Q1 operating margin (EBITDA ₹46.6 cr as a share of sales). Down from about 24% a year ago because raw metals and LPG fuel got much costlier.

₹16 cr
Q1 net profit, up 27%. Profit grew slower than sales because of the cost squeeze.

₹2,329 cr
Order book on 1 July 2026, up a little from ₹2,290 cr in April. Roughly two years of sales already booked.

₹19 cr
Extra cost this quarter from metal prices (about ₹14 cr) and LPG fuel (about ₹5 cr) tied to the Middle East war. Contracts are fixed-price, so it can't pass this on.

₹50-60 cr
Capex planned for FY27, routine upkeep only. The bigger ₹1,000 cr modernisation plan is still waiting for ministry approval.

Figures as given on the Q1 FY27 call (standalone). Market value is not quoted because this report is capped at information available by 30 Sep 2026.

2. Concall coverage: what was read

This is a continuity report. Twelve calls from Q1 FY24 to Q4 FY26 were read in full for the Q4-2026 report and are carried forward as backstory. The one new call, Q1 FY27, was deep-read in full. Speakers: CMD Dr S.V.S. Narayana Murty, Director (Finance) Madhubala Kalluri and Director (Production & Marketing) Padavittan Babu.

Quarter(s)	Call date	Transcript read?
Q1 FY24 to Q3 FY26 (11 calls)	Aug 2023 to Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	3 Jun 2026	Read for the Q4-2026 report
Q1 FY27	**17 Aug 2026**	**Newly deep-read in full ★**

★ Latest concall highlights: Q1 FY27 (call held 17 Aug 2026)

- **Sales jumped, margin slipped.** Sales ₹239 cr (+40%), net profit ₹16 cr (+27%), but the margin fell to about 20% against the 23% management expected. Blame: nickel, molybdenum and tungsten prices and doubled LPG costs for its furnaces. Management expects Q2 to be hit too and a return to normal from Q3.
- **A new export door.** GE (USA) granted S400 approval for its testing lab on 13 Aug 2026, so MIDHANI can now certify material for any customer at home or abroad. Nadcap approval for non-destructive testing is targeted by the end of FY27.
- **Fighter-engine work moving.** It isothermally forged a fighter-engine superalloy on its own press and won orders for four superalloy and three titanium grades. Development orders for the AMCA fighter programme are in hand; bulk orders depend on the programme.
- **Small new lines.** First aluminium plate-rolling order; bulletproof jackets in final testing; a sample spring order from BEML; a preliminary German licence for metal-powder equipment.
- **Guidance went vaguer.** In June it guided about 15% growth; now it says only "better than last year" and rules out anything like 40% for the year. The ₹1,000 cr capex plan, presented in June as a three-year programme, is "proposed to the ministry" with no timeline.

2c. Business mix & capacity (quick glance)

Item	Latest figure	Plain read
Domestic vs export	India about 93% / exports about 7% (FY26)	Exports were ₹33 cr so far this year with ₹25 cr more on order; target is about 10% of sales.
Order book by sector (Jul 2026)	Defence 66% · space 21% · energy 9% · other 4%	Space share is up from about 8% in April. Titanium orders alone are about ₹600 cr.
How orders are won	All competitive bidding now, none on nomination	Plain read: this is why margins sit near 20% rather than the old 25-30%.
Capacity use	Titanium melting about 750 t last year and fully used; wide plate mill still underused	Core plants are near full; growth beyond this needs the modernisation capex.

★ Since our last report

Builds on the Q4-2026 report (boundary call 3 Jun 2026). Prior verdicts: **Trigger YES**, **Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Near-monopoly on strategic alloys, a big import-replacement runway, record FY26 and a ₹2,290 cr order book.	Order book edged up to ₹2,329 cr; GE S400 approval and fighter-engine orders added; sales +40% in Q1.	Confirmed
Consistency: MAYBE	Steady story and candid tone, but a habit of guiding high and delivering less.	The fresh 15% guide was swapped for "better than last year" one quarter in; margin missed the 23% they expected.	Slipping
Promise: 23-25% margin	Guided in June for FY27.	About 20% in Q1 on metal and fuel costs; back to normal promised from Q3.	Slipping
Promise: ₹1,000 cr capex over 3 years	Presented as a plan to modernise 1980s equipment.	Still awaiting ministry approval; FY27 spend only ₹50-60 cr; payoff from year four.	Slipping
Promise: metal bank	Customer-owned raw metal stored on campus to fix supply gaps.	Advanced procurement with one customer; more clarity by end of Q2.	On-track
Promise: NALCO aluminium JV closure	Being formally shut.	Both boards recommended closing; ministry approval pending.	On-track

Verdict change this quarter: Trigger stays YES: demand and certifications kept building. Consistency stays MAYBE but leans weaker: one quarter after giving a fresh growth number and a margin band, both have softened, and the capex that's meant to lift growth hasn't been approved yet.

★ 3. Earning-trigger thesis: the headline

Making in India the special metals India still imports. Management keeps pointing to roughly ₹8,000 cr a year of superalloys, titanium and special steels still imported. MIDHANI can make most of these grades; what's held buyers back is foreign approvals. Each certificate it wins (CEMILAC, Nadcap, now GE's S400) opens more of that pool. Fighter and jet-engine programmes, nuclear power and space add demand. The catch is pace and price: orders now come through competitive bidding, so growth comes with thinner margins than the old days.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
Import replacement of strategic alloys	About ₹8,000 cr imported each year that it can capture as approvals come.	Order book ₹2,329 cr; Q1 sales +40%.	Multi-year	Strong	Unchanged
Aero-engine and global OEM approvals	Approvals from global engine makers within about a year.	GE S400 lab approval won; Nadcap NDT targeted by end FY27; fighter-engine grades on order.	1-3 yrs	Moderate	↑ Improving
Titanium capacity	Fully use the new melting furnace.	About 750 t last year, fully used; about ₹600 cr titanium orders.	Now	Strong	Unchanged
Modernisation capex	₹1,000 cr over three years to lift yield and output.	Awaiting ministry approval; FY27 only routine capex.	Year 4+	Unproven	↓ Weakening
New verticals (jackets, springs, aluminium rolling, powder)	Extra revenue lines.	Samples and first orders only.	Early	Weak	Unchanged

4. Management consistency scorecard

Period / theme	What was promised	What actually happened	Verdict
FY24	20-25% growth; margin back toward 25%.	Growth met, margin crashed to about 18% (carried forward).	Partly
FY25	About 20% growth.	Flat sales (carried forward).	Missed
FY26	₹1,300-1,500 cr sales, 23% margin, aero certifications.	₹1,209 cr, about 20% margin; certifications won (carried forward).	Partly
FY27 guide (set Jun 2026)	About 15% growth, 23-25% margin, ₹1,000 cr capex plan.	Q1 growth strong, margin about 20%, guide softened to "better than last year", capex unapproved.	Slipping early
Certifications	Win approvals to sell to global engine makers.	CEMILAC, Nadcap and now GE S400 won.	Delivered
Exports	₹100 cr+ a year, about 10% of sales.	Still short; ₹33 cr so far this year.	Partly

Narrative drift. The story itself hasn't moved in three years: self-reliance in strategic metals, titanium and superalloys, approvals, exports. Management stays candid, owning the cost squeeze and admitting orders are now all competitive. What keeps drifting is the numbers: the growth guide and margin band set in June already softened by August, and the

big capex is back to "waiting for approval". The pattern from the prior report, a real trigger delivered more slowly than promised, carries on.

5. Bottom line: the two verdicts

Durable earning trigger? → YES · vs last quarter: unchanged

Nothing broke it and some things got better. The order book held near record, sales grew fast off a low base, and the GE approval plus fighter-engine orders widen the door to replace imports. The weak spots are margin (fixed-price contracts mean it eats cost spikes) and a capex plan that isn't approved, which caps how fast output can grow.

Management consistent? → MAYBE · vs last quarter: unchanged (leaning weaker)

Same mixed record. Certifications keep arriving as promised, the metal bank and NALCO closure are moving, and the tone is honest. But the June guidance has already gone soft, the margin missed what they expected in the very first quarter, and the ₹1,000 cr capex is stuck at the ministry. Another quarter like this would make it a NO.

Concall-Tracker report · Mishra Dhatu Nigam Ltd · sources: Q1 FY27 earnings-call transcript (17 Aug 2026, via Screener.in) plus the Q4-2026 Concall-Tracker report for the twelve earlier calls. Coverage capped at calls held up to 30 Sep 2026. EBITDA = operating profit before interest, tax, depreciation; NDT = non-destructive testing. Not investment advice.